

Value Recognition Determination Module (VRDM)

VRDM — Value Recognition Determination

Module

Architecture Ecosystem: Structured Reality Standards™
Architecture Family: VFM® — Value Flow Mechanisms Architecture
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Canonical Definition

Value Recognition Determination Module (VRDM) is the third Core Module of the Value Recognition Standard (VRS) within VFM® — Value Flow Mechanisms Architecture.

VRDM governs the formal determination of whether existing value is recognized within a defined value context by applying the recognition criteria established through VRCM — Value Recognition Criteria Module to the recognition basis established through VRBM — Value Recognition Basis Module.

Its purpose is to transform an established recognition basis into an explicit, reproducible, bounded, and governable recognition outcome.

VRDM does not determine whether value originally existed.

It does not create value.

It does not determine market price, ownership, legality, accounting treatment, taxation, validation status, or universal acceptance.

Its function is precise:

to determine whether existing value qualifies for recognition within the defined recognition context.

The governing relationship is:

Existing Value + Recognition Context + Recognition Criteria + Recognition Basis → Value Recognition

Determination

Architectural Position

VRDM operates within the fourth governed space of the VFM® lifecycle:

Value Context → Value Origin → Value Emergence → Value Recognition → Value State → Value Change → Value Development / Value Degradation → Value Nullification → Value Restoration / Value Extinction

Within the Value Recognition Standard, VRDM occupies the decision point between the recognition basis and the limitations attached to the resulting recognition.

Internal Module Flow

Existing Value → VRCM — Value Recognition Criteria → VRBM — Value Recognition Basis → VRDM — Value Recognition Determination → VRLM — Value Recognition Limitation → VRRM — Value Recognition Record → Recognized Value

VRDM therefore answers the decisive question in the internal recognition flow:

Given these criteria and this basis, what recognition outcome legitimately follows?

Operational Space

VRDM governs:

recognition determination initiation; recognition context confirmation; criterion applicability confirmation; recognition basis consideration; criterion-to-basis assessment; supporting basis treatment; contradictory basis treatment; conditional recognition; partial recognition; non-recognition; indeterminate recognition; recognition determination reasoning; recognition state assignment; determination consistency; determination reproducibility; determination uncertainty; determination conditions;

determination review triggers; machine-readable recognition outcomes.

The Module converts recognition analysis into a governed determination.

Recognition Determination Principle

Recognition must not arise merely because an institution, organization, model, analyst, or automated system labels something valuable.

A governed recognition determination requires an identifiable methodological chain:

Defined Value → Defined Recognition Context → Applicable Recognition Criteria → Applicable Recognition Basis → Recognition Assessment

→ Recognition Determination

This makes the outcome reconstructable.

A downstream user should be able to determine not merely:

“This value was recognized.”

but:

“This value was recognized under these criteria, on this basis, within this context, subject to these conditions.”

Determination ≠ Value Creation

VRDM enforces one of the most important boundaries in VFM®:

Recognition does not create the underlying value.

Value must already exist before it enters the Value Recognition Standard.

Therefore:

Existing Value → Recognition

not:

Recognition → Value Existence

An institution may recognize value that already exists.

It may fail to recognize value that already exists.

It may change its recognition determination without changing the underlying value.

This prevents institutional recognition systems from silently becoming definitions of value itself.

Determination ≠ Universal Recognition

A VRDM determination applies only within its defined recognition context.

Therefore:

Recognized in Context A ≠ Universally Recognized

For example, a capability may be:

Recognized as Operational Value

while remaining:

Not Recognized as Accounting Value

Not Recognized as Collateral Value

and

Conditionally Recognized as Strategic Value.

These outcomes may coexist without contradiction.

They describe different recognition relationships to the same existing value.

Criterion-to-Basis Determination

VRDM requires each material recognition criterion to be considered against the relevant recognition basis.

The determination chain may be represented as:

Criterion A → Basis A → Assessment A

Criterion B → Basis B → Assessment B

Criterion C → Basis C → Assessment C

↓

Combined Recognition Determination

This prevents recognition from being based upon a general impression when explicit criteria have already been established.

Supporting and Contradictory Basis

VRDM must consider materially relevant basis that:

supports recognition; weakens recognition; contradicts recognition; conditions recognition; limits recognition; leaves recognition unresolved.

A recognition determination that considers only favorable basis is methodologically incomplete.

Therefore:

Recognition Determination $\neq$ Selection of Supporting Information

VRDM requires material conflicts identified by VRBM to remain visible in the determination.

Recognition Determination States

VRDM may establish a minimum canonical state model.

1. Recognized

The applicable criteria are sufficiently satisfied by the governed recognition basis within the defined context.

2. Conditionally Recognized

Recognition is legitimate only where explicitly defined conditions remain satisfied.

3. Partially Recognized

Only a defined portion, dimension, capability, benefit, period, application, or value relationship satisfies the applicable recognition requirements.

4. Not Recognized

The applicable criteria are not sufficiently satisfied within the defined recognition context.

5. Indeterminate

The available basis does not permit a sufficiently supported recognition or non-recognition determination.

6. Recognition Suspended

A previous recognition determination cannot presently be relied upon because a material change, unresolved contradiction, missing basis, or review condition requires reassessment.

These are recognition states, not value-existence states.

Non-Recognition Principle

VRDM makes a critical distinction:

Not Recognized $\neq$ No Value

Non-recognition means:

the existing value does not currently satisfy the applicable recognition requirements within this defined context.

It does not establish:

the value does not exist.

This distinction is particularly important where conventional systems recognize only a limited subset of value.

A technological capability, avoided cost, operational advantage, public benefit, strategic resource, unused capacity, or future-use capability may exist as value even where a specific institutional recognition framework does not recognize it.

Indeterminate Recognition

VRDM must permit an indeterminate outcome.

Without an indeterminate state, recognition systems may be forced into false binary conclusions:

Recognized / Not Recognized

even where the available basis is insufficient.

An indeterminate state allows the system to state:

the recognition question remains unresolved on the current basis.

This is methodologically stronger than manufacturing certainty where none exists.

Conditional Recognition

Recognition may depend upon conditions.

Examples include:

continued availability of a capability; continued beneficiary relevance; defined operating conditions; specified technological configuration; defined market conditions; continued resource scarcity; maintained performance; temporal validity; defined regulatory context; continued accessibility.

VRDM must preserve those conditions within the recognition determination.

If a condition disappears, the recognition determination may require reassessment.

Partial Recognition

Some value objects may contain multiple value dimensions.

A single object may provide:

operational value; strategic value; financial value; technological value; resource value; public value; future-use value.

VRDM may therefore recognize one value dimension without recognizing another.

Similarly, only part of a claimed value may be sufficiently supported.

This permits:

Partial Recognition

without forcing the entire value claim into one binary state.

Recognition Across Multiple Beneficiaries

Value may be recognized differently depending upon the beneficiary established through the Value Context Standard (VCXS).

For example, the same infrastructure may create:

Value for Operator

Value for Customer

Value for Government

Value for Community

Value for Future Users

The recognition determination must remain linked to the relevant beneficiary where beneficiary identity materially affects recognition.

Therefore:

Recognition for Beneficiary A $\neq$ Recognition for Beneficiary B

unless the applicable basis supports both.

Temporal Recognition

Recognition exists in time.

A value recognized today may not remain recognizable indefinitely.

Recognition may change because:

the beneficiary changes; the purpose changes; the capability becomes obsolete; technology advances; resources become more or less scarce; operating conditions change; the recognition basis changes; recognition criteria change; the underlying value changes.

VRDM therefore requires recognition determinations to support temporal applicability and reassessment.

Recognition Change $\neq$ Value Change

A recognition determination may change even when the underlying value remains unchanged.

For example:

Year 1: value exists but is not institutionally recognized.

Year 2: recognition criteria expand.

Year 3: the same existing value becomes recognized.

The value itself may not have changed.

The recognition relationship changed.

Therefore:

Recognition State Change $\neq$ Value State Change

This distinction becomes essential when VFM® is used across institutional, economic, technological, governmental, or accounting systems.

Recognition Determination ≠ Valuation

VRDM determines whether value is recognized.

It does not determine the magnitude of that value.

Therefore:

Recognized Value ≠ Valued Amount

A determination such as:

Recognized as Operational Value

does not itself establish:

CHF 10 million of value.

Valuation or value magnitude may require separate methodology.

VRDM protects the architecture from collapsing recognition into pricing.

Recognition Determination ≠ Accounting

Recognition

Accounting systems may use recognition rules appropriate to financial reporting.

VRDM is broader.

It may govern recognition of value in contexts including:

operations; strategy; infrastructure; public systems; science; technology; resource efficiency; resilience; capability; investment analysis; mission planning; digital systems.

Accounting recognition may therefore be one external recognition context.

It is not the universal definition of VFM® value recognition.

Recognition Determination ≠ Market Acceptance

A market may recognize value through demand, exchange, pricing, or liquidity.

But value recognition under VFM® does not depend upon the existence of a market.

A value may be recognized where:

it is internally consumed; it avoids cost; it preserves capability; it reduces resource use; it increases resilience; it creates strategic optionality; it benefits a public system; it cannot be transferred; no market currently exists.

Therefore:

No Market ≠ No Recognizable Value

Recognition Determination ≠ Legal or Tax

Determination

VRDM does not determine whether recognized value:

constitutes property; creates ownership rights; is legally enforceable; is taxable; creates taxable income; creates a taxable event; qualifies as a regulated asset; may be transferred; may be used as collateral.

Those questions belong to their relevant legal, tax, governance, or external architectural systems.

VFM® governs the value lifecycle.

Determination Reproducibility

A governed recognition determination should be capable of reconstruction.

A reviewer should be able to identify:

Value Reference → Recognition Context → Recognition Criteria → Recognition Basis → Criterion Assessments → Material Conflicts → Conditions

→ Recognition Determination

This does not require every evaluator to reach the same conclusion under every methodology.

It requires the reasoning pathway to be explicit enough to understand how the determination was reached.

Determination Consistency

Where materially equivalent value contexts, criteria, and bases are assessed differently, the difference should be identifiable.

VRDM therefore supports consistency analysis across recognition determinations.

This can expose:

inconsistent institutional recognition; undocumented exceptions; criteria drift; arbitrary recognition; algorithmic inconsistency; human decision inconsistency; changes in recognition policy.

Consistency does not require identical outcomes where material facts differ.

It requires differences to have an identifiable basis.

Human and Machine Determination

VRDM may support recognition determinations performed by:

humans; committees; institutions; AI systems; automated rules; hybrid human-machine processes.

The governance requirement remains the same:

the determination must remain connected to the governed criteria, basis, context, conditions, and outcome.

An AI-generated recognition decision does not become governed merely because it is computationally produced.

Machine-Readable Recognition Determination

A machine-readable VRDM implementation may represent:

Value ID → Recognition Context ID → Beneficiary ID / Reference → Criterion Set ID → Recognition Basis ID → Criterion Assessment States → Conflict State → Recognition Conditions → Recognition Determination State → Temporal Applicability → VRLM Limitation Interface → VRRM Record Interface

This allows recognition determinations to become portable across systems without reducing them to a binary label.

Recognition Review Triggers

A recognition determination may require review where there is material change to:

value context; beneficiary; purpose; recognition criteria; recognition basis; underlying capability; resource conditions; technological conditions; operational conditions; temporal relevance; material contradictory information.

Review does not automatically change recognition.

It reopens the determination where its existing basis may no longer be sufficient.

Boundary with VRCM

VRCM — Value Recognition Criteria Module determines:

What must be satisfied for recognition?

VRDM determines:

Given the applicable criteria and basis, what recognition outcome follows?

Therefore:

Criteria $\neq$ Determination

Boundary with VRBM

VRBM — Value Recognition Basis Module establishes:

What supports the recognition assessment?

VRDM evaluates that basis against the applicable criteria.

Therefore:

Basis $\neq$ Determination

The same basis may produce different legitimate determinations under different recognition contexts or criteria.

Boundary with VRLM

VRDM determines the recognition outcome.

VRLM — Value Recognition Limitation Module subsequently determines the limitations, boundaries, exclusions, and conditions governing how that recognition may legitimately be interpreted or used.

Therefore:

Recognition Determination $\neq$ Unlimited Recognition

Boundary with VRRM

VRDM produces the recognition determination.

VRRM — Value Recognition Record Module preserves the recognition outcome and its governed basis as a durable recognition record.

Therefore:

Determination $\neq$ Record

Boundary with Value State Standard

Recognition is not itself the complete state of value.

The subsequent Value State Standard (VSS) governs the state of the value within the broader VFM® lifecycle.

VRDM must therefore not collapse:

Recognition State

into:

Value State

A value can be recognized while later becoming degraded, nullified, restored, or extinct.

Minimum Implementation Framework

A minimum VRDM implementation should establish:

1. Value Reference

Identify the existing value subject to recognition determination.

2. Recognition Context Confirmation

Confirm the context, beneficiary, and purpose within which recognition is being determined.

3. Applicable Criteria

Receive the applicable recognition criteria from VRCM.

4. Recognition Basis

Receive the governed recognition basis from VRBM.

5. Criterion Assessment

Assess each material criterion against the relevant basis.

6. Conflict Assessment

Consider materially supporting, contradictory, conditional, and limiting basis.

7. Recognition Determination

Determine the legitimate recognition outcome.

8. Recognition State Assignment

Assign the appropriate recognition state.

9. Conditions and Temporal Applicability

Identify conditions and temporal boundaries affecting the determination.

10. Determination Basis

Preserve the reasoning necessary for VRLM and VRRM to govern the resulting recognition.

Governance Outputs

VRDM may produce:

Value Recognition Determination Recognition Determination State Criterion Assessment Record Recognition Context Confirmation Recognition Beneficiary Relationship Recognition Conflict Assessment Conditional Recognition Statement

Partial Recognition Statement Non-Recognition Determination

Indeterminate Recognition Determination Recognition Suspension State Recognition Temporal Applicability
Recognition Review Trigger Recognition Determination Basis

These outputs provide the governed input for VRLM — Value Recognition Limitation Module.

Use Case 1 — Banking: Recognition Beyond the

Balance Sheet

A bank evaluates a technology company possessing proprietary software, operational datasets, automation capabilities, specialized processes, and internal technological infrastructure.

The relevant value has already emerged.

VRCM establishes criteria for strategic enterprise value recognition.

VRBM establishes basis including:

recurring cost reductions; production improvements; customer retention effects; demonstrated internal dependence; measurable productivity gains; technological capability.

VRDM applies the criteria to that basis.

The outcome might be:

Strategic Value → Recognized

Operational Value → Recognized

Future Capability Value → Conditionally Recognized

Collateral Value → Not Determined within this recognition context

The bank has not magically converted software into collateral.

It has done something methodologically different:

it has established which forms of existing value can legitimately be recognized for the defined analytical purpose.

This enables richer enterprise assessment without confusing strategic recognition with accounting, legal, or collateral status.

Use Case 2 — Space Mission: Recognition of

Avoided Resource Consumption

A space organization deploys a mission-optimization capability.

The capability does not create a new physical asset.

Instead, it reduces:

engineering hours; simulation executions; physical testing;

fuel requirements; hardware consumption; mission preparation time.

The value already exists through these resource effects.

VRCM establishes criteria for Mission Resource Efficiency Value.

VRBM provides the basis:

8,000 engineering hours avoided

35% reduction in computational workload

two physical testing campaigns avoided

measurable fuel requirement reduction

VRDM determines whether those effects satisfy the recognition criteria.

The result may be:

Mission Resource Efficiency Value → Recognized

with specified conditions concerning mission configuration, measurement period, and comparison baseline.

This demonstrates an important VFM® capability:

value can be formally recognized even where its manifestation is not a new asset or new revenue, but resources that no longer need to be consumed.

Enterprise Application

VRDM gives organizations a controlled mechanism for transforming value-related information into explicit recognition determinations.

It can support banking, investment, government, public finance, enterprise management, infrastructure, technology, AI, energy, manufacturing, scientific programs, resource optimization, mission planning, and other environments where organizations need to distinguish:

value that exists

from

value that a particular system recognizes.

This distinction becomes especially powerful where conventional systems recognize only narrow forms of value.

VRDM enables multiple recognition contexts to coexist without forcing operational, strategic, financial, social, technological, resource, and other forms of value into one universal recognition model.

Foundational Principles

Recognition does not create value.

Value may exist before recognition.

Recognition must be based on explicit criteria and an identifiable basis.

Recognition is contextual, not automatically universal.

Not recognized does not mean no value exists.

Indeterminate recognition is legitimate where the basis does not support certainty.

Recognition state is not value state.

Recognition determination is not valuation.

Recognition determination is not accounting treatment.

Recognition determination is not market acceptance.

Recognition determination is not legal or tax determination.

The same existing value may legitimately have different recognition outcomes in different contexts.

A governed recognition determination must be reconstructable from the context, criteria, basis, assessment, and resulting recognition state.

Canonical Closing Statement

****Value Recognition Determination Module** establishes the decision layer of the Value Recognition Standard by converting explicit recognition criteria and governed recognition basis into a formal, contextual, conditional, reproducible, and machine-readable recognition outcome. Through governance of criterion assessment, supporting and contradictory basis, recognition states, conditional and partial recognition, non-recognition, indeterminate outcomes, temporal applicability, beneficiary relationships, consistency, review triggers, and determination traceability, VRDM prevents institutional recognition from being confused with value existence itself. By separating recognition determination from value creation, valuation, accounting treatment, market acceptance, legal status, taxation, value state, and downstream recognition limitations, VRDM enables organizations and intelligent systems to state not merely that value is recognized, but precisely what value is recognized, for whom, within what context, against what criteria, on what basis, under what conditions, and with what determination outcome.

Modul4

Governed Links

→ [Value Recognition Standard \(VRS\)](#)

→ [VFM® Architecture Map](#)

→ [Previous: Value Recognition Basis Module \(VRBM\)](#)

→ [Next: Value Recognition Limitation Module \(VRLM\)](#)

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